

from \$5 million to \$82 million required only a five-fold growth in its tiny invested capital. This allowed See's to return to Berkshire Hathaway all the earnings it generated between 1972 and 2007—\$1.35 billion—less the \$32 million required for See's organic growth. By way of comparison, Buffett estimated that an average business would have required an additional \$400 million invested in working capital and fixed assets to grow earnings in the same magnitude, and would have been worth less than See's after having done so. Instead, Buffett and Munger were able to redirect most of See's excess earnings to purchasing other high-quality businesses, and Berkshire Hathaway became a financial powerhouse.

In 1989 Buffett would distill the investment lessons he had learned from Graham, Munger, Fisher, and See's into a single sentence, "It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price."³² It would become a familiar refrain. Graham had established the philosophy of value investment: The concept of intrinsic value as a quantity distinct from price, and the importance of a margin of safety. He had also established a number of ideas about the manner in which intrinsic value could be assessed, and was so expansive in his teachings that he left very little ground uncovered for future value investors. It is apt that the only student of Graham's to receive an A+ in his class would find new ground within Graham's framework, which he achieved by blending Phil Fisher's philosophy with Graham's. Buffett's divergence from Graham's methods was not a rejection of Graham's philosophy, but rather an extension of it. It was prompted by the increasingly large sums of capital he had to invest and Munger's insistence that Graham's view was a limiting one, ignoring pertinent facts like business quality. Buffett has regularly acknowledged Munger's influence on his "wonderful company at a fair price" investment process. In 1989 he said, "Charlie understood this early; I was a slow learner. But now, when buying companies or common stocks, we look for first-class businesses accompanied by first-class managements."³³

HOW TO RUN A CANDY STORE (AND A FEW THINGS BUFFETT LEARNED ABOUT BUSINESS VALUATION)

The lesson Buffett took from See's is that a business's intrinsic value is a function of the return it generates on the capital invested in it—the higher the return on invested capital, the greater the business's intrinsic value. This was an unusual idea. Shortly after Graham published *Security Analysis* in 1934, John Burr Williams published his 1938 masterpiece *The Theory of Investment Value* in which he described the classic theory of "net present value."³⁴ On a topic suggested by the great economist Joseph